

Employer of Record

India Country Guide

Hire compliantly in India — no local entity required.

India at a Glance

Currency	Indian Rupee (INR)
Languages	Hindi, English (plus 21 other scheduled languages)
Payroll Cycle	Monthly
Employer Cost (excl. EOR fee)	~12.5% of basic + DA (15.75% if ESI applies)
EOR Fee (Employment Hero)	\$400 USD / employee / month
Paid Leave	15–21 days (Earned Leave, varies by state)
Probation Period	Typically 3–6 months (contractual)
Notice Period	30–90 days (non-workmen, contractual)
13th Month Salary	Not mandatory (statutory bonus 8.33%–20% applies)
Working Hours	48 hrs/week max (9 hrs/day)

How Employment Hero HeroForce Works

As your EOR in India, Employment Hero HeroForce becomes the legal employer of your staff. We handle every compliance obligation — EPFO, ESIC, TDS, and state-level labour law — while your team members report to you day-to-day. You retain full control over work, deliverables, and performance — we handle everything else.

What We Handle

- Employment contracts compliant with the applicable state Shops and Establishments Act
- Monthly payroll in Indian Rupees, including EPF, ESI, and EDLI contributions
- TDS income tax withholding under India's progressive tax slabs (0%–30%)
- Statutory bonus calculation and disbursement under the Payment of Bonus Act 1965
- Leave tracking: earned leave, sick leave, casual leave, and maternity leave
- Employment Visa sponsorship and FRRO registration for foreign nationals
- Termination compliance: notice periods, retrenchment compensation, and gratuity calculation

Typical Onboarding Timeline

Stage	Timeline
Sign EOR service agreement & share employee details	1–2 days
Draft and sign compliant appointment letter	2–3 days
EPFO registration and ESIC registration (if gross wages ≤ INR 21,000/month)	3–5 days
Payroll configured, coverage activated, employee onboarded	2–3 days
Employee starts (no visa required)	Total: 1–2 weeks
Add: Employment Visa + FRRO registration (foreign nationals)	+4–8 weeks (total 6–10 weeks)

Employment Law Essentials

Employment Contracts

Employment in India is governed by over 40 central and state labour laws, including the Factories Act 1948, the Industrial Disputes Act 1947, and each state's Shops and Establishments Act. Written appointment letters are standard practice for all EOR-managed employees, specifying job title, compensation, working hours, probation terms, notice period, and leave entitlements. Fixed-term and indefinite-term contracts are both recognised, with indefinite terms the default for permanent roles.

Working Hours & Overtime

Hour Type	Rate
Standard week	48 hrs / 9 hrs per day max
Overtime (beyond 9 hrs/day or 48 hrs/week)	200% of ordinary rate, capped at 50 hrs/quarter
Weekly rest day worked	200% of ordinary rate
Public holiday worked	200% of ordinary rate (varies by state)
Night shift (after 7 PM)	No central premium; some states add one

Source: Factories Act 1948, Section 59. Managerial and supervisory staff may be exempt under Section 64.

Minimum Wage (2026)

India has no single national minimum wage — rates are set by the central government and individual states under the Minimum Wages Act 1948, varying by state, industry, and skill level. The central floor wage is INR 178/day (~\$2.09). Delhi's minimum wage for unskilled workers is approximately INR 17,494/month (~\$206); Maharashtra, Karnataka, and other states set their own rates. The higher of the central and applicable state rate applies.

Leave Entitlements

Leave Type	Duration	Notes
Earned Leave (Annual)	15–21 days/year	1 day per 20 worked (Factories Act); accrual after qualifying period; carry-forward capped at 30–45 days
Sick Leave	7–12 days/year	Per state S&E Act; medical certificate required for 2+ consecutive days; generally non-cumulative
Casual Leave	7–12 days/year	Per state S&E Act; for personal matters and emergencies; cannot be carried forward
Maternity Leave	26 weeks (first two children)	100% pay; 12 weeks from the third child onward; employer-funded (or ESI)
Paternity Leave	No statutory entitlement (private sector)	5–15 days commonly offered voluntarily by private employers
Public Holidays	10–15 days/year	3 national holidays mandatory; remainder per state gazette
Bereavement Leave	3–5 days (employer policy)	Not mandated by central law

Payroll, Taxes & Social Security

Employer Contributions

Contribution	Employer Rate	Notes
EPF (Provident Fund)	12% of basic + DA	Split: 3.67% to EPF, 8.33% to EPS (capped at INR 15,000 basic)
EDLI (Deposit-Linked Insurance)	0.5% of basic + DA	Life insurance for EPF members; max benefit INR 7,00,000
ESI (State Insurance)	3.25% of gross wages	Only applies when gross wages ≤ INR 21,000/month
Total Employer Contributions	12.5% (without ESI) or 15.75% (with ESI)	ESI drops off above INR 21,000/month gross

Employee Deductions

Deduction	Rate	Notes
EPF	12% of basic + DA	Entire amount goes to the employee's EPF account
ESI	0.75% of gross wages	Only applies when gross wages ≤ INR 21,000/month
Professional Tax	Up to INR 2,500/year	Varies by state; not levied in all states
Income Tax (TDS)	0%–30%	Progressive brackets; rate depends on regime elected

Income Tax Brackets (FY 2025–26, new regime)

Annual Taxable Income (INR)	Tax Rate
Up to ₹4,00,000	0% (exempt)
₹4,00,001 – ₹8,00,000	5%
₹8,00,001 – ₹12,00,000	10%
₹12,00,001 – ₹16,00,000	15%
₹16,00,001 – ₹20,00,000	20%
₹20,00,001 – ₹24,00,000	25%
Above ₹24,00,000	30%

With the Section 87A rebate and INR 75,000 standard deduction, salaried employees pay zero tax up to ~INR 12,75,000/year.

Total Cost of Employment

Model based on USD \$1,200 gross monthly salary, assuming basic + DA of ~50% of gross. Gross exceeds the ESI threshold, so ESI does not apply.

Cost Item	Amount (USD)	% of Gross
Gross Monthly Salary	\$1,200	100%
EPF (Employer, 12% of basic + DA)	\$72.00	6.00%
EDLI (Employer, 0.5% of basic + DA)	\$3.00	0.25%
ESI (Employer)	Not applicable	gross exceeds INR 21,000 ceiling
Employment Hero EOR Fee	\$400.00	33.33%
Total Monthly Employer Cost	\$1,675.00	139.58%

Employment Hero's EOR fee is \$400 USD/employee/month (Tier 1 pricing) with no setup fee, covering payroll, compliance, statutory registrations, and HR support.

Termination & Offboarding

Notice Periods

Position Level	Notice Period	Notes
Workmen (under 1 year of service)	No statutory notice required	Termination must still follow just-cause requirements
Workmen (1+ years, retrenchment)	30 days or 1 month's wages in lieu	Section 25F, Industrial Disputes Act 1947
Non-workmen / managerial staff	30–90 days (contractual)	No statutory floor; per employment contract
Mass retrenchment (100+ employees)	90 days + government approval	Prior permission mandatory under Section 25N

Severance Pay

India has two separate statutory severance entitlements: retrenchment compensation under the Industrial Disputes Act 1947 (workmen with 1+ years of service) and gratuity under the Payment of Gratuity Act 1972 (all employees with 5+ years of service). Both can apply to the same employee. Retrenchment compensation is calculated as 15 days' average pay per year of service: $(\text{average monthly pay} \times 15) \div 26$. Gratuity is calculated as $(\text{last drawn basic} + \text{DA}) \times 15 \times \text{years of service} \div 26$, capped at INR 20,00,000 for private-sector employees.

2026 Public Holidays

Date	Holiday	Type
26 January	Republic Day	National
19 February	Maha Shivaratri	Gazetted
4 March	Holi	Gazetted
21 March	Eid-ul-Fitr	Gazetted (approximate)
3 April	Good Friday	Gazetted
6 April	Ram Navami	Gazetted
10 April	Mahavir Jayanti	Gazetted
12 May	Buddha Purnima	Gazetted
28 May	Eid-ul-Adha (Bakrid)	Gazetted (approximate)
17 June	Muharram	Gazetted (approximate)
15 August	Independence Day	National
25 August	Janmashtami	Gazetted
2 October	Gandhi Jayanti	National

Date	Holiday	Type
12 October	Dussehra (Vijayadashami)	Gazetted
31 October	Diwali	Gazetted
6 November	Guru Nanak Jayanti	Gazetted
25 December	Christmas	Gazetted

Islamic holidays are approximate; exact dates depend on moon sighting. State governments may add or substitute regional holidays.

Ready to hire in India?

Contact your Employment Hero HeroForce account team or visit employmenthero.com to get started.

Sources: India Code (Factories Act 1948, Industrial Disputes Act 1947, Maternity Benefit Act 1961, Payment of Gratuity Act 1972, Payment of Bonus Act 1965), EPFO Contribution Rates, Income Tax Department India, Ministry of Labour and Employment.